



CHAPTER 67.

An Act to confer on courts certain powers in relation to remedies in respect of the non-payment of money and the non-performance of obligations (including powers in relation to bankruptcy and winding-up proceedings), and to make provision for purposes connected with the matters aforesaid. [1st September 1939.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

1.—(1) Subject to the provisions of this section, a person shall not be entitled, except with the leave of the appropriate court, to proceed to execution on, or otherwise to the enforcement of, any judgment or order of any court (whether given or made before or after the commencement of this Act) for the payment or recovery of a sum of money :

Restriction
on execution
and other
remedies.

Provided that nothing in this subsection shall apply to—

- (a) any judgment for the recovery of damages for tort;
- (b) any judgment or order for the recovery of a debt which has become due by virtue of a contract made after the commencement of this Act;

- (c) any judgment or order under which no sum of money is recoverable otherwise than in respect of costs;
- (d) any order in a matter of bastardy, or any order enforceable as an affiliation order; or
- (e) any order made either in criminal proceedings or in proceedings for the recovery of a penalty in respect of any contravention of, or failure to comply with, any provisions of an Act.

(2) Subject to the provisions of this section, a person shall not be entitled, except with the leave of the appropriate court,—

- (a) to proceed to exercise any remedy which is available to him by way of—
 - (i) the levying of distress;
 - (ii) the taking of possession of any property or the appointment of a receiver of any property;
 - (iii) re-entry upon any land;
 - (iv) the realisation of any security or the forfeiture of any deposit; or
 - (v) the serving of a demand under paragraph (1) of section one hundred and sixty-nine of the Companies Act, 1929; or
- (b) to institute any proceedings for foreclosure or for sale in lieu of foreclosure, or take any step in any such proceedings instituted before the commencement of this Act:

Provided that this subsection shall not apply to any remedy or proceedings available in consequence of any default in the payment of a debt, or the performance of an obligation, being a debt or obligation arising by virtue of a contract made after the commencement of this Act; and nothing in this subsection shall affect—

- (a) any power of sale of a mortgagee of land or an interest in land who is in possession of the mortgaged property at the commencement of this Act, or who before the commencement of this Act has appointed a receiver who at the commencement of this Act is in possession, or in receipt of the rents and profits, of the mortgaged property;

- (b) any power of sale of a mortgagee in possession of property other than land or some interest in land, where the power of sale has arisen and notice of the intended sale has been given before the commencement of this Act; or
- (c) any right or power of pawnbrokers to deal with pledges; or
- (d) the institution or prosecution of any proceedings for the appointment by the court of a receiver of any property, or for the recovery of possession of land.

(3) Subject to the provisions of this section, a person shall not be entitled, except with the leave of the appropriate court, to proceed to execution on, or otherwise to the enforcement of, any judgment or order of any court (whether given or made before or after the commencement of this Act) for the recovery of possession of land in default of payment of rent:

Provided that nothing in this subsection shall apply to any judgment given or order made in proceedings for the enforcement of a contract made after the commencement of this Act.

(4) If, on any application for such leave as is required under this section for the exercise of any of the rights and remedies mentioned in subsections (1), (2) and (3) of this section, the appropriate court is of opinion that the person liable to satisfy the judgment or order, or to pay the rent or other debt, or to perform the obligation, in question is unable immediately to do so by reason of circumstances directly or indirectly attributable to any war in which His Majesty may be engaged, the court may refuse leave for the exercise of that right or remedy, or give leave therefor subject to such restrictions and conditions as the court thinks proper.

(5) Where a bankruptcy petition has been presented against any debtor, or a winding-up petition has been presented against any company on the ground that it is unable to pay its debts, and the debtor or company proves to the satisfaction of the court having jurisdiction in the bankruptcy or winding-up that his or its inability to pay his or its debts is due to circumstances directly or indirectly attributable to any war in which His Majesty is engaged, the court may at any time stay

the proceedings under the petition for such time and subject to such conditions as the court thinks fit.

(6) His Majesty may by Order in Council direct that, in relation to the exercise of any right or power of any person or class of persons having any goods in their custody as bailees to sell the goods by reason of any default in payment of a debt, the restriction imposed by subsection (2) of this section either shall not apply or shall apply subject to such limitations as may be specified in the Order; and any such Order in Council shall have effect notwithstanding anything inconsistent therewith contained in any Act other than this Act.

(7) An Order in Council under this section may be varied or revoked by a subsequent Order of His Majesty in Council.

Procedure.

2.—(1) The appropriate Court for the purposes of any of the provisions of this Act shall be such court as may be designated by rules made by the Lord Chancellor under this Act, and such rules may designate different courts in relation to different classes of proceedings.

(2) The Lord Chancellor may also make rules prescribing the manner in which applications under this Act are to be made, and generally for regulating the conduct of proceedings under this Act.

(3) When the Great Seal is in commission, any power vested in the Lord Chancellor by this section may be exercised by any Lord Commissioner.

Interpreta-
tion.

3. For the purposes of this Act—

(a) a contract shall be deemed to have been made before the commencement of this Act, if an offer made before the day of the commencement thereof so as to be binding on a contracting party if accepted within a specified period expiring on or after that day, is accepted by the contracting party at any time within that period; and

(b) a person entitled to the benefit of a judgment or order, who issues a bankruptcy notice or presents a bankruptcy petition or a winding-up petition founded on the non-payment of money due under that judgment or order shall be deemed to be proceeding to the enforcement of that judgment or order.

4. This Act shall apply to Scotland subject to the following modifications— Application
to Scotland.

(a) for references to the Lord Chancellor and to rules there shall be respectively substituted references to the Court of Session and to Act of Sederunt, and subsection (3) of section two shall not apply; "judgment or order" shall include a decree or warrant authorising diligence; "stay" means sist; "tort" means delict or quasi delict; "affiliation order" means decree for aliment; "bankruptcy petition" means petition for sequestration; and "bankruptcy" means sequestration; "levying of distress" means doing of diligence; and for any reference to a mortgagee of land or of an interest in land there shall be substituted a reference to a creditor in a heritable security, and the expression "mortgaged property" shall be construed accordingly;

(b) for paragraph (b) of subsection (2) of section one of this Act the following paragraph shall be substituted—

“(b) to exercise any power of sale conferred by a heritable security”;

(c) subsection (6) of section one of this Act shall have effect as if the words “as bailees” were omitted.

5. This Act shall apply to Northern Ireland subject to the following modifications— Application
to Northern
Ireland.

(a) for the reference to paragraph (1) of section one hundred and sixty-nine of the Companies Act, 1929, there shall be substituted a reference to paragraph (1) of section one hundred and sixty of the Companies Act (Northern Ireland), 1932;

(b) for references to the Lord Chancellor there shall be substituted references to the Lord Chief Justice of Northern Ireland, and subsection (3) of section two shall not apply.

Extension
of Act to
Isle of Man.

6.—(1) His Majesty may by Order in Council direct that this Act shall extend to the Isle of Man with such exceptions, adaptations and modifications as may be specified in the Order.

(2) Any Order in Council under this section may be varied or revoked by a subsequent Order of His Majesty in Council.

Short title,
commence-
ment and
duration of
Act.

7.—(1) This Act may be cited as the Courts (Emergency Powers) Act, 1939.

(2) This Act shall come into operation on such date as His Majesty may by Order in Council appoint.

(3) This Act shall continue in force until such date as His Majesty may by Order in Council declare to be the date on which the emergency that was the occasion of the passing of this Act came to an end.

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